

There is nothing intrinsically wrong with basing strategy on comparisons to other companies and industries. In fact, that approach can help you discover assumptions that are not really leaps of faith. For example, the venture capitalist Randy Komisar, whose book *Getting to Plan B* discussed the concept of leaps of faith in great detail, uses a framework of “analog” and “antilog” to plot strategy.

He explains the analog-antilog concept by using the iPod as an example. “If you were looking for analogs, you would have to look at the Walkman,” he says. “It solved a critical question that Steve Jobs never had to ask himself: Will people listen to music in a public place using earphones? We think of that as a nonsense question today, but it is fundamental. When Sony asked the question, they did not have the answer. Steve Jobs had [the answer] in the analog [version]” Sony’s Walkman was the analog. Jobs then had to face the fact that although people were willing to download music, they were not willing to pay for it. “Napster was an antilog. That antilog had to lead him to address his business in a particular way,” Komisar says. “Out of these analogs and antilogs come a series of unique, unanswered questions. Those are leaps of faith that I, as an entrepreneur, am taking if I go through with this business venture. They are going to make or break my business. In the iPod business, one of those leaps of faith was that people would pay for music.” Of course that leap of faith turned out to be correct.⁴

Beyond “The Right Place at the Right Time”

There are any number of famous entrepreneurs who made millions because they seemed to be in the right place at the right time. However, for every successful entrepreneur who was in the right place in the right time, there are many more who were there, too, in that right place at the right time but still managed to fail. Henry Ford was joined by nearly five hundred other entrepreneurs in the early twentieth century. Imagine being an automobile entrepreneur, trained in state-of-the-art engineering. on the ground floor of one of